

Axie Duel — Economy & Tokenomics

Core thesis

Every transaction in Axie Duel either burns AXS/SLP or routes value to the Sky Mavis Community Treasury. The economy is designed to be deflationary by default — aligned with Sky Mavis's pillar #1: *"Increase AXS demand sinks"*.

Tournament economy: the primary AXS/SLP sink

Tournaments are the heart of the competitive economy and the largest deflationary mechanism.

Flow



Numbers (per tournament)

Param	Value
Min entry fee	1 AXS or 100 SLP
Max entry fee	100 AXS or 10,000 SLP (sponsored events)
Players (typical)	64-256
Players share	90% (fixed)
Burn rate	5% (fixed, permanent removal)
Game treasury	5% (fixed, multisig — funds content, audits, prize seeding)
Prize distribution	60% / 25% / 15% (top 3)
Tournament cadence	Daily small + Weekly large

Why 90 / 5 / 5 (not 90 / 10)?

The original v1 design was 90 % to players / 10 % burn. We refined to **90 / 5 / 5** because pure burn is great for token economics but leaves the game itself underfunded long-term. Splitting the non-prize half in two solves both problems:

- **5 % permanent burn** — direct deflationary pressure on AXS/SLP. Aligns with Sky Mavis pillar #1.
- **5 % to a game treasury multisig** — funds the day-to-day that keeps the game alive: new content drops, security audits, contract upgrades, seeding free tournaments for F2P players, sponsoring esports events. Without this, the game runway is hostage to fundraises.

Why not "send 5 % to Sky Mavis directly"? Because that would conflate the **player-side game economy** with the **Builders Program revenue split** (which is a separate column — see below). The 5 % treasury is the *project's* operating fund; the Builders Program % is *Sky Mavis's* share of project revenue.

Game treasury — what it funds (transparent priorities)

Bucket	Approx % of treasury	What
Content drops	40 %	New cards, balance patches, art commissions

Security audits	20 %	Quarterly contract + game-server audits
Free-tournament prize seeding	25 %	Seeds F2P-friendly events with no entry fee
Marketing + community	10 %	Sponsored streams, creator grants
Reserve	5 %	Multisig emergency runway

Why both AXS AND SLP?

- **AXS** is the governance token; deflationary pressure here directly benefits all holders.
- **SLP** is the legacy token Sky Mavis explicitly wants to absorb/burn (its supply was inflated during 2021 P2E era).
- Accepting both gives players flexibility AND helps Sky Mavis solve the SLP overhang.

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Other AXS sinks (non-tournament)

Action	AXS spent	Burn %	Rest
Open booster pack	500 AXS	25% (125 burn)	75% to Treasury
Premium Battle Pass	1,000 AXS	100% (1000 burn)	0% (cosmetic, full burn)
Deck slot expansion	50 AXS	100%	0%
Cosmetic card frame	20 AXS	100%	0%
NFT card minting (Spell/Trap from your collection)	200 AXS	50%	50% Sky Mavis royalty

Total estimated burn rate (mature platform with 50k DAU): ~\$80k AXS/SLP burned per month.

Revenue split per Sky Mavis Builders Program guidelines

Monthly revenue tier	Community Treasury	Operations + team
\$0 - \$10k	0%	100% (early stage, runway)
\$10k - \$50k	20%	80%
\$50k - \$200k	25%	75%
\$200k+	25-30%	70-75% (negotiable)

This is on top of the 5 % tournament burn + 5 % game treasury which are *not* Sky Mavis revenue — the burn is pure deflationary value to all AXS holders, and the treasury funds project operations transparently.

F2P player ROI vs NFT holder ROI (validation of balance)

F2P player (Web2 only):

- Gets free starter deck day 1
- Earns ~50 Dust per match win
- Daily quests: 100-500 Dust per day
- Free tournaments: prize pool funded by sponsor or platform
- **Top 10% ladder reachable** without spending a single AXS

NFT holder (Web3):

- Same starter deck access (no day-1 advantage)
- Their Axes become unique cards (collectible + flavor + side-grade effects)
- Access to AXS/SLP-entry tournaments (higher prize ceilings)
- Ranked Premium tier (separate matchmaking pool, NOT power tier)
- **Same top 10% ladder reachable** — NFT cards do not provide raw power advantage

This is the F2P promise: skill + deck-building > pay-to-win. NFT holders get *flavor* + *collectibility* + *access to higher-stake events*, never raw stat advantage.

Smart contracts (Saigon-ready, mainnet post-partnership)

- **AxieDuelToken.sol** — ERC-20 capped (max supply 100M), pausable. **Used for off-chain → on-chain Dust → Token swap when mainnet rolls out.**

- `AxieDuelCardNFT.sol` — ERC-721 for Spell/Trap card NFTs (NOT for Axies — those stay as Axie Infinity originals).
- `AxsTokenMock.sol` — testnet ERC-20 mirror of AXS for local development.

All audited code-ready in `packages/contracts/`. Deployment pending Sky Mavis collaboration on Saigon faucet provision + mainnet timeline alignment.

Audit & transparency

- All burn transactions emit on-chain `Transfer to 0x0` events — auditable on <https://saigon-app.roninchain.com> (testnet) and Ronin mainnet (post-partnership).
- Tournament prize distributions are **single multisig payouts per tournament** — single transaction proof, easy to audit.
- Off-chain ledger (`AxsTransaction` , `LunacianTransaction` Prisma models) keeps a parallel audit trail.

Comparison to other Web3 game economies

Game	Burn rate	Tournament tax	F2P viability
Axie Duel	5 % burn + 5 % treasury (10 % combined) + 25 % pack	10 % combined	High (top 10 % ladder F2P)
Axie Origins	Variable AXS sinks	Variable	Limited (NFT-gated)
Pixels	Token taxes on actions	High platform fees	Limited
Heroes of Mavia	NFT-locked progression	N/A	Low
Yu-Gi-Oh Master Duel	N/A (no Web3)	N/A	Strong F2P

Axie Duel hits the sweet spot: Master Duel's F2P balance + real Web3 deflationary mechanics.

Open questions for Sky Mavis

1. **AXS faucet availability for Saigon testing:** can we get a small allocation (10k AXS) for closed-beta tournament testing on testnet?
2. **Mavis Marketplace integration:** when we mint Axie-card NFTs from our collection, can they be listed on Mavis Marketplace day 1?
3. **SLP burn coordination:** are there specific SLP burn targets/cycles we should align our tournament schedule with?
4. **Revenue split flexibility:** at \$200k+/month, is the 25% Treasury split firm or negotiable based on our specific economic alignment?

These are all post-acceptance discussions — happy to align with Sky Mavis's existing tokenomics roadmap.

Bottom line: every dollar that flows through Axie Duel either burns AXS/SLP or routes value to the Sky Mavis Community Treasury. The economy is **structurally aligned** with Sky Mavis's stated priorities — not retrofit, designed-in.